

Insights

The Second Opinion

SOX 404: Before, Now and After

The SEC proposes to stop requiring the auditor's opinion on internal control at 1,596 companies. A review of every comment letter, and what comes next.

The auditor's opinion may go. Management's assessment stays,
and from then on it stands alone.

BEFORE

2002 to 2025

NOW

172 commenters, one dot each

AFTER

one strand carries on

Management's assessment, Section 404(a)

Auditor's attestation, Section 404(b)

Too broad or do not expand

Supports the exemption

No position

Silent on attestation

Executive Summary

1,596

Registrants the SEC estimates would be newly exempt from the auditor's attestation on internal control: 26.7% of all registrants

75 of 118

Commenters addressing the attestation who called the exemption too broad, nine in guarded terms, or said it should not be expanded

0 of 11

Audit firms on the file that endorsed the \$2 billion line as drawn; 10 of them questioned the five-year on-ramp

12 of 118

Commenters who said anything concrete about what a company should do once the attestation is gone

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

Most finance leaders read the SEC's May 2026 filer status proposal as a cost saving and moved on. The large accelerated filer line rises from \$700 million to \$2 billion of public float, every new registrant gets five years, and the SEC's requirement for an auditor's opinion on internal control falls away for **1,596 companies**.

The comment file is less settled than that reading. It holds 192 entries from **172 distinct commenters**, and this paper rests on a review of every one. It follows Section 404 through its life: how it reached this point, what the SEC has now heard, and what a finance leader should do before the answer arrives.

? First, how did Section 404 get here, and what did it deliver?

It was built between 2002 and 2005 and has been scaled or narrowed four times since; the proposal would be the fifth. The \$700 million line was set in 2005 and has not moved: at adoption it captured 18% of companies, and today it captures **35.4% of registrants**. Over the same years restatements fell and the SEC's staff found that auditor testing brought out control deficiencies management had not disclosed, though neither can be credited to Section 404 alone.

(Refer Section 1: How Section 404 Got Here)

? Second, what did the SEC hear?

Of the 118 commenters that addressed the attestation, **75 said the exemption is too broad or should not be expanded**, nine of them in guarded terms, and 32 supported it or wanted more.

The split runs by constituency. Every company, exchange and industry association that took a side supported the exemption. No accounting firm endorsed the \$2 billion line as drawn, and 25 of the 27 investors and investor advocates that addressed the exemption called it too broad or opposed any expansion.

(Refer Sections 3 and 4: What the SEC Heard; Two Questions the File Leaves Open)

? Third, where could the final rule move?

No final rule has been adopted. The letters show where one could move: the five-year on-ramp for very large new listings, a second test beside public float, and relief for companies that cross today's lines while the rule is pending.

(Refer Section 5: Where the Final Rule Could Move)

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniqus Can Help

? Fourth, will this bring the mid-market back?

The proposal lowers the cost of staying public. It does little to change the decision to go public, because most companies making that decision are exempt already. The release gives no estimate of additional listings.

(Refer Section 6: Capital Markets and the Mid-Market)

? Fifth, what should a finance leader do before the final rule?

Fix the company's status under both rule sets, price the saving from the auditor's own fee proposal, and take keep, drop or replace to the audit committee with evidence. Section 7 sets out eight decisions for the person who runs the SOX program.

(Refer Section 7: What To Do Before the Final Rule)

Uniqus Point of View: when management's assessment stands alone

The file argues about where the line should sit; a finance leader has a different question. **Once the auditor's opinion is optional, management's assessment under Section 404(a) is the only report on internal control an investor receives.** The proposal changes neither that assessment nor the certifications that accompany it.

We would plan on the core of the proposal surviving and its edges moving. Companies below \$2 billion of float that have the attestation today should prepare for a year in which it becomes a choice.

That choice belongs to the audit committee, and it should be made on evidence before a lender, an underwriter or an investor asks about it.

Sandip Khetan

Co-Founder, Global Head of Accounting & Reporting Consulting

PART ONE

Before

2002 to 2025: two signatures on internal control

1. How Section 404 Got Here

Built between 2002 and 2005. Scaled or narrowed four times since. The proposal would be the fifth.

Section 404 has two halves. Under 404(a), management assesses internal control over financial reporting and reports its conclusion. Under 404(b), the auditor attests to that assessment.

The second half has never applied to everyone, and it has been scaled or narrowed four times. In 2007 the SEC issued guidance for management and the PCAOB a risk-based audit standard; in 2010 Congress exempted non-accelerated filers by statute, after the SEC had deferred them since 2003. The JOBS Act added emerging growth companies in 2012, and in 2020 the SEC took issuers with revenue under \$100 million out of accelerated filer status.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

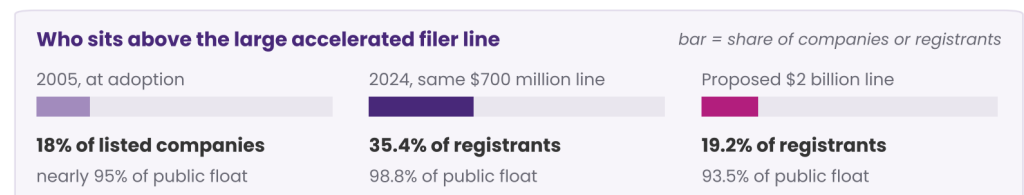
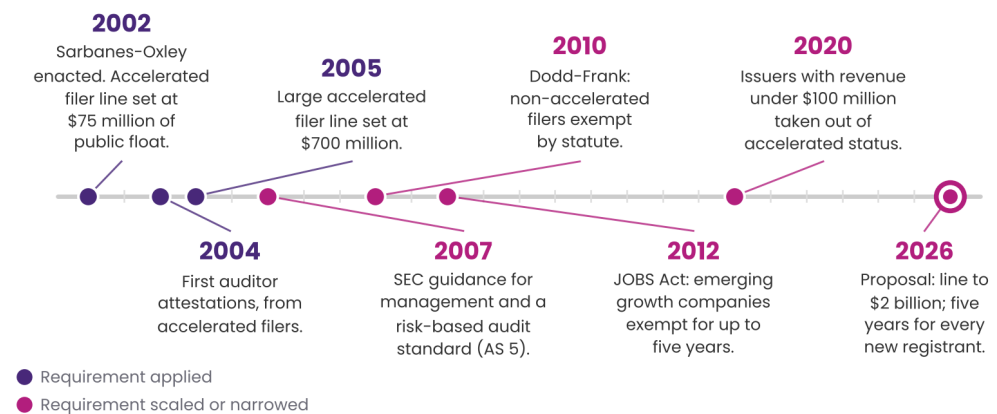
5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniqus Can Help

Exhibit 1 — The life of Section 404, 2002 to 2026



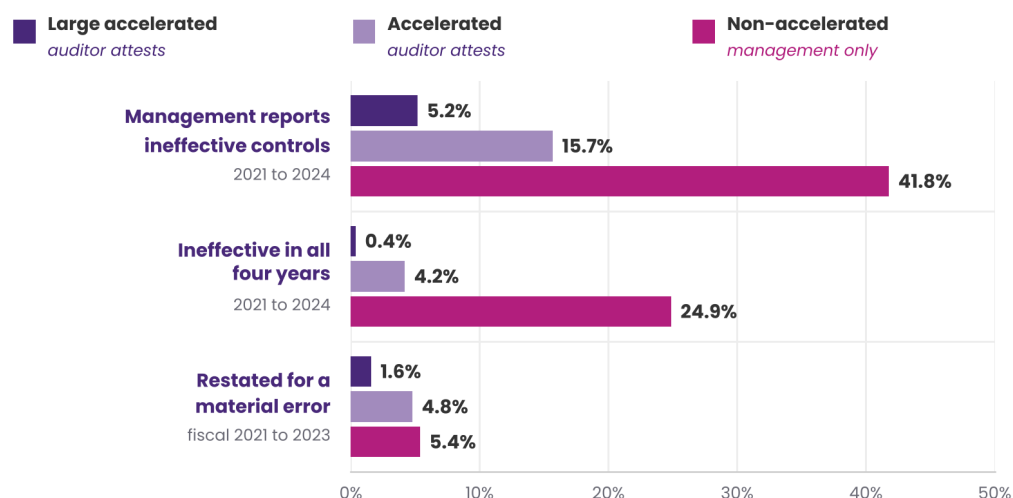
Source: SEC Release 33-11419 (May 19, 2026), pp. 12, 20 to 34, 40 to 42 and 150; SEC Release 33-8392 for the 2004 compliance date; Uniqus presentation. The 2004 entry is the first fiscal year end (on or after November 15, 2004) for which accelerated filers provided the auditor's attestation. Shares are the SEC's estimates; the 2005 figures are shares of listed companies and of their float, and "nearly 95 percent" is the SEC's wording.

The \$700 million line was set in 2005 and has not moved. At adoption it captured 18% of companies; today the same line captures **35.4% of registrants**. That drift is the SEC's strongest argument: adjusted for consumer prices the line would be \$1.15 billion, and tracking the S&P 500 it would be \$3.85 billion.

1.1 What the record shows

The SEC's own tables show the control record under each regime. Over 2021 to 2024, management reported ineffective controls at **5.2%** of large accelerated filers, **15.7%** of accelerated filers and **41.8%** of non-accelerated filers.

Exhibit 2 — The control record by filer status



Source: SEC Release 33-11419, EA Tables 5, 6 and 7 (pp. 139 to 142), SEC staff analysis of Audit Analytics data. Categories are those of the current rules. Restatements are those correcting errors material to previously issued financial statements; in that table the accelerated and non-accelerated columns exclude emerging growth companies, whose rate was 14.7%. Of 757 accelerated filers, 125 are emerging growth companies and are not subject to attestation.

Size explains part of that gradient, and the SEC reads its restatement table cautiously: the rate for non-accelerated filers is “only slightly higher” than for accelerated filers. The gap is widest on persistence: **24.9% of non-accelerated filers reported ineffective controls in all four years**, against 4.2% of accelerated filers.

Where the attestation is optional, few companies buy it. The SEC estimates that less than six percent of exempt registrants obtained one voluntarily in 2024.

1.2 What the second opinion delivered

Cost is one side of the ledger. On the other, the SEC’s 2011 staff study concluded that auditor testing “has generally resulted in the disclosure of internal control deficiencies” that management had not previously disclosed, and that the attestation “appears to have a positive impact on the informativeness of internal control disclosures and financial reporting quality”. The release repeats both findings.

Restatements rose in the first three years of the Act and have fallen since. The Center for Audit Quality, the audit profession’s policy body, counts a 60% decline from 2006 to 2009 and a further fall from **858 in 2013 to 402 in 2022**. Ideagen Audit Analytics, on its own count, recorded 391 in 2025, the second lowest year in its 20-year database.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

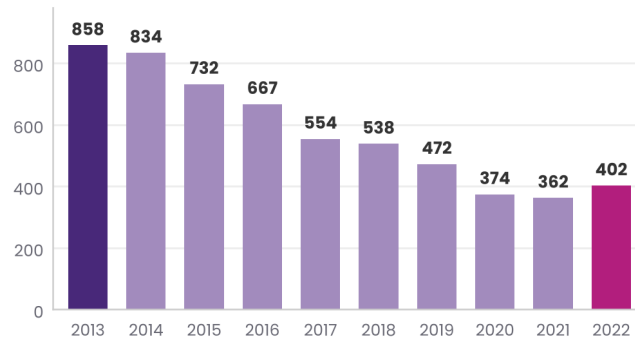
5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

Exhibit 3 — Restatements announced by US-listed companies, 2013 to 2022



60%

fall in restatements
from 2006 to 2009

858 to 402

restatements a year,
2013 to 2022

391

in 2025 on Ideagen's count,
its second lowest in 20 years

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniqus Can Help

Source: Center for Audit Quality, *Financial Restatement Trends in the United States: 2013 to 2022* (June 2024), pp. 6 to 8 and 15, from Audit Analytics data; the count excludes 1,155 restatements by blank-check companies that followed an SEC staff statement on warrants in April 2021. The 2025 figure is from Ideagen Audit Analytics, *Financial Restatements Report* (May 2026), counted on a different basis. The Center says it is too early to tell whether the rise in 2022 is a turn, and the fall cannot be credited to Section 404 alone.

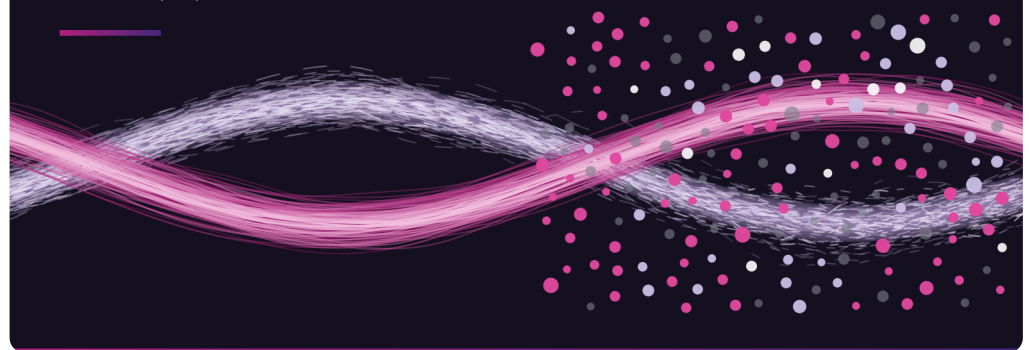
Those closest to the work came to see value in it. In a survey of corporate insiders in 2008 and 2009, cited in the release, respondents judged the benefits of Section 404(b) compliance to outweigh the costs, “especially as they gained experience with section 404(b)”, though fewer answered that question than others. Compliance costs also fell after 2007, when the PCAOB issued Auditing Standard No. 5 and the SEC issued its guidance for management.

The SEC names the wider benefit itself: Section 404(b) “may play a role in improving overall investor confidence, encouraging investment in public markets”. None of this proves cause: the Act also created the PCAOB, audit committee independence rules and officer certifications, the release cites one recent study that found no decline in reporting quality after the 2020 exemption, and it says auditor testing “may have fewer benefits” at the larger companies now affected. What the record does show is what is being given up: **an independent test that, in the SEC staff’s own study of accelerated filers, found what management had not.**

PART TWO

Now

2026: the proposal, and what 172 commenters said



2. What the SEC Proposed

One line at \$2 billion, one clock at five years, and no auditor's opinion below either.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

Element	Today	Proposed
Large accelerated filer line	\$700 million of public float	\$2 billion of public float
How float is measured	Share price on the last business day of the second fiscal quarter	Average closing price over the last 10 trading days of that quarter
Moving in or out	One measurement; exit below \$560 million for large accelerated status and \$60 million for accelerated status	Two consecutive years above or below the line; no separate exit level
Seasoning before the status applies	12 months of reporting	60 months , whatever the company's size
Management's assessment, 404(a)	Required of all	Unchanged
Foreign private issuers on Form 20-F	Attestation from \$75 million of float	Unchanged

2.1 The filer categories, today and under the proposal

Filer status decides three things: how fast a company must file, how much it must disclose, and whether its auditor attests to internal control. Today five overlapping labels can apply. The proposal would leave two that matter, large accelerated and non-accelerated, and add a sub-category for the smallest companies.

Category	Who it is today	What it carries today	Under the proposal
Large accelerated filer	Public float of \$700 million or more at the end of the second quarter; 12 months of reporting; one annual report filed; not eligible as a smaller reporting company on the revenue test	10-K in 60 days, 10-Q in 40; auditor's attestation; full disclosure	\$2 billion or more at each of the last two second-quarter ends and 60 months of reporting; obligations unchanged
Accelerated filer	Float of \$75 million to under \$700 million, with the same other conditions	10-K in 75 days, 10-Q in 40; attestation unless an emerging growth company	Eliminated ; becomes non-accelerated

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

Category	Who it is today	What it carries today	Under the proposal
Non-accelerated filer	Not defined in the rules: every other registrant	10-K in 90 days, 10-Q in 45; no attestation	Any issuer that is not large accelerated; same deadlines; no attestation ; scaled disclosure, with some exceptions; must disclose material unresolved staff comments
Smaller reporting company	Float under \$250 million, or revenue under \$100 million with float under \$700 million	Scaled disclosure: two years of financial statements and MD&A instead of three, lighter executive pay disclosure	Eliminated ; its accommodations pass to non-accelerated filers
Emerging growth company	Revenue under \$1.235 billion, for up to five years after IPO	No attestation; scaled disclosure; deferred adoption of new accounting standards	Stays by statute, though the SEC expects it to be unnecessary in most circumstances
Small non-accelerated filer	Does not exist	Not applicable	New : total assets of \$35 million or less at each of the last two second-quarter ends; 10-K in 120 days, 10-Q in 50

Source: SEC Release 33-11419, pp. 9 to 13, 20 to 21, 28 to 33, 37 to 48, 56, 66 to 69, 83, 96 and 103. Smaller reporting and emerging growth status sit on top of the other categories today. Public float is the market value of common equity held by non-affiliates.

A change of status therefore moves more than the attestation. A large accelerated filer that becomes non-accelerated gains 30 days on its Form 10-K and five on its Form 10-Q, may present two years of financial statements where it now presents three, and is exempt from say-on-pay votes. The option to defer new accounting standards is narrower: it runs only for the first five years after initial registration.

The SEC estimates that large accelerated filers would fall from 2,115 to 1,146, from 35.4% to 19.2% of registrants, while still holding 93.5% of public float. **1,596 registrants** would be newly exempt from the attestation: 964 that are large accelerated filers today and 632 accelerated filers.

Two groups get less than the headline suggests. Banks are counted in the 1,596 but stay subject to the FDIC's separate attestation rule, which since January 1, 2026 applies at \$5 billion of assets or more. Foreign private issuers filing on Form 20-F or 40-F are outside the proposal and keep today's \$75 million trigger.

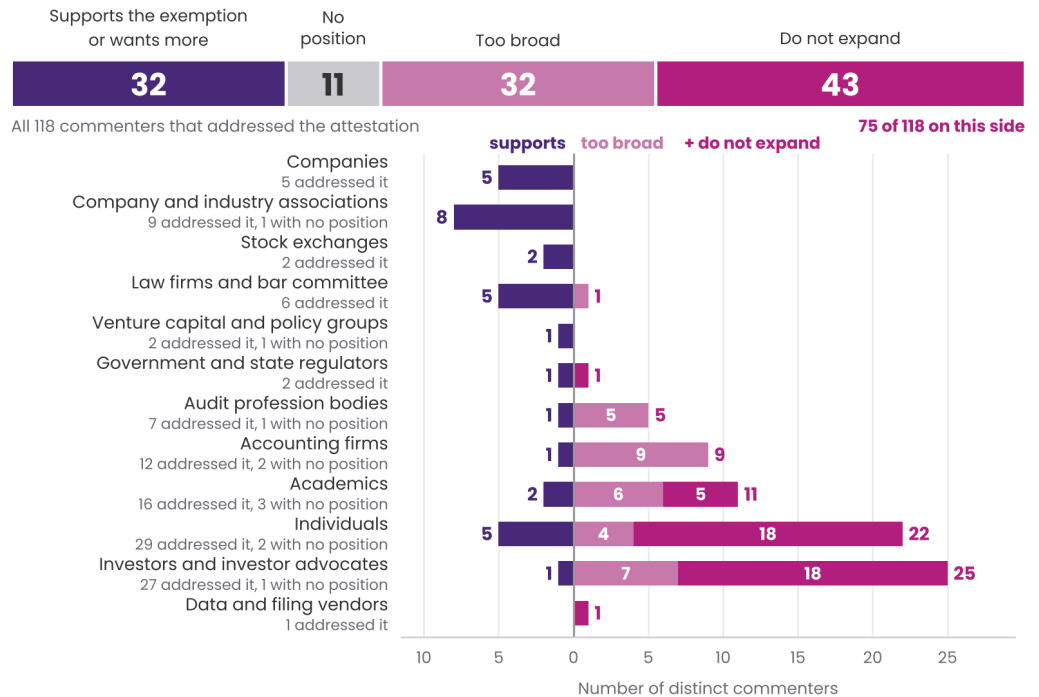
Comments closed on July 20, 2026. As of early October 2026 the rule remains at the proposed stage, as do the companion proposals on semiannual reporting and registered offerings.

3. What the SEC Heard

A file that divides between those who pay for assurance and those who rely on it or provide it.

The docket holds 192 entries, the latest dated September 8, 2026. Setting aside SEC staff memoranda, a roundtable transcript and duplicates leaves **172 distinct commenters**. Of these, 118 addressed the attestation and 54 did not mention it.

Exhibit 4 — Where 118 commenters stood on the attestation exemption



Source: Uniquis coding of every entry on SEC comment file S7-2026-18 as posted on October 5, 2026; the method is set out in "How we read the file". One letter, from the Texas Society of CPAs, could not be opened on the docket and was read from the society's website. "Too broad" means the commenter accepts some widening of the exemption and objects to its extent; nine of those 32 say so in guarded terms. The counts describe who wrote; they are not a forecast of how the Commission will weigh each letter.

Supporters are the parties that bear the cost: companies, their associations, both exchanges and most of the securities lawyers who wrote. Those objecting are led by investors and individual commenters, joined by academics and by most of the firms and professional bodies that provide the assurance. Among investors and investor advocates, **25 of the 27** that addressed the attestation called the exemption too broad or said it should not be expanded.

The middle is more informative than either end. Thirty-two commenters accepted that the line should move and objected to how far. Twenty of them named a different line or test.

How we read the file

How it was read. Every entry was read and coded with AI under the direction of Uniquis professionals. All but two letters went through two independent passes, and differences were settled by re-reading the letter. Every quotation printed here was checked against the page of the filed letter.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

What counts as a commenter. Each distinct filer, once. A letter with more than 100 academic signatories is one commenter, and so is a joint letter from 49 organizations; a signatory that also filed its own letter is counted for that letter too. Staff memoranda of meetings are excluded.

What counts as a position. Only what the letter says about the attestation. A letter that supports the proposal overall but never mentions Section 404(b) is recorded as silent.

Who did not write. Nine of the twenty largest US accounting firms, ranked by revenue in the 2026 INSIDE Public Accounting list, filed nothing. Neither did the AICPA in its own name, the Institute of Internal Auditors, Financial Executives International or the Institute of Management Accountants.

3.1 The audit profession, grouped by position

Eleven of the twenty largest US accounting firms by revenue wrote, including the Big Four, along with one advisory firm that does not audit. **Nine of the twelve said the exemption is, or may be, too broad; two took no side; one supported it. None endorsed the \$2 billion line as drawn.**

What they told the SEC	How many	What they asked for, and what it means for you
The line is too high, and here is where to put it.	Five: four audit firms and the advisory firm	Each named a fix: keep the attestation above today's \$700 million line; a line of approximately \$1.1 billion; an inflation adjustment of the thresholds; a revenue limit of \$1.235 billion beside float; or keep it after a recent material weakness. If the SEC takes any of these, some companies between \$700 million and \$2 billion of float keep the opinion.
The exempt group may be too wide, but we will not name a number.	Four audit firms	A second look at how many companies fall out, a test that looks past public float alone, and refreshed PCAOB guidance on auditing internal control. Even firms with no alternative of their own question the breadth, which adds weight to a second test beside float.
There is not enough evidence to decide yet.	Two audit firms	Ask investors first, and redo the cost estimate to count the control work an auditor must still perform. The saving in the release may be overstated.
Let the market decide.	One audit firm	Make the attestation a choice for most issuers. Even the one supporter suggested the SEC consider a line below \$2 billion.

Three points recur in the firms' letters and bear directly on a company's planning.

- **The saving is smaller than the fee line implies.** Seven firms said the financial statement audit will absorb part of the work, because auditors must still understand controls and, in many audits, test them or do more substantive work.
- **Five years is too long for a very large new listing.** Ten of the eleven audit firms questioned a flat 60-month on-ramp.
- **Fewer firms will keep the capability.** One firm estimates that only six firms would perform integrated audits for ten or more issuers.

4. Two Questions the File Leaves Open

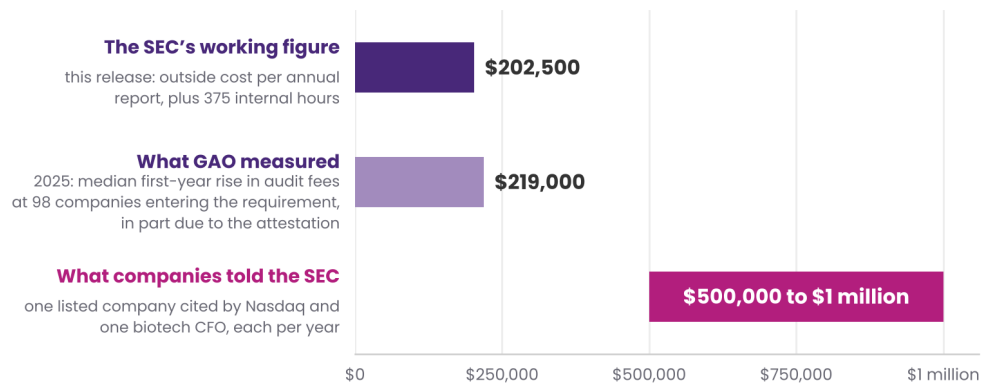
How much is saved, and what investors will do about it.

4.1 How much is actually saved

The release cannot isolate the attestation fee, because companies disclose total audit fees only. Its own input is **\$202,500 of outside cost and 375 internal hours** per annual report, a 2020 estimate adjusted for inflation.

Issuers put the figure higher, at or above the top of the range the release itself reports. One listed company cited by Nasdaq and one biotech CFO each put it at \$500,000 to \$1 million a year. A governance association's member survey points the same way.

Exhibit 5 — The SEC's number and the companies' number



In a governance association's member survey, 21% of respondents put the annual cost at \$500,000 to \$1 million and 18% at \$1 million to \$5 million. Among those expecting to become exempt, the shares were 23% and 8%.

Source: SEC Release 33-11419, pp. 153 to 155 and 214 to 218, including GAO-25-107500; comment letters of Nasdaq, Inc. (p. 4), Avalo Therapeutics (p. 1) and the Society for Corporate Governance (p. 7; member survey with nearly 50 responses). The CFO's letter reads "between \$500-\$1M annually". The release also cites estimates on other bases, from \$73,165 in audit fees for companies under \$300 million to approximately \$800,000 all-in. The SEC's figure is an average across registrants and the companies' figures are individual reports, so the exhibit shows a gap between them, not an error in either.

Neither set of numbers answers the controller's question: what the financial statement audit will cost once the auditor no longer tests controls for an opinion of its own. **Only a fee proposal for a specific company answers that.**

4.2 What investors will do

Opponents argue that investors will charge for the missing opinion through a higher cost of capital. The figures offered trace largely to one 2009 study of companies whose control deficiencies were later cleared by an auditor. The one study on the file that measured the cost of capital after an actual exemption, for low-revenue issuers in 2020, found no significant difference.

Companies are not sure either. In the governance survey, which drew nearly 50 responses, 12% of respondents said they would likely keep the attestation voluntarily

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

and 15% were confident they would drop it. **52% said it would depend on investor demand.**

Two statements worth putting side by side

Nasdaq, Inc., comment letter, p. 4

- *“One listed company estimated that it spent between \$500,000 and \$1 million annually with independent auditors to comply with this disclosure obligation and observed that such expenses could be better deployed on research & development.”*

Ohio Public Employees Retirement System, comment letter, p. 9

- *“Without an independent “gatekeeper,” management’s assessment is inherently less credible – in effect, investors are being asked to trust the numbers with one fewer check on the system that produced them.”*

Both can be true. The first describes the price of the opinion. The second describes what the opinion is for.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

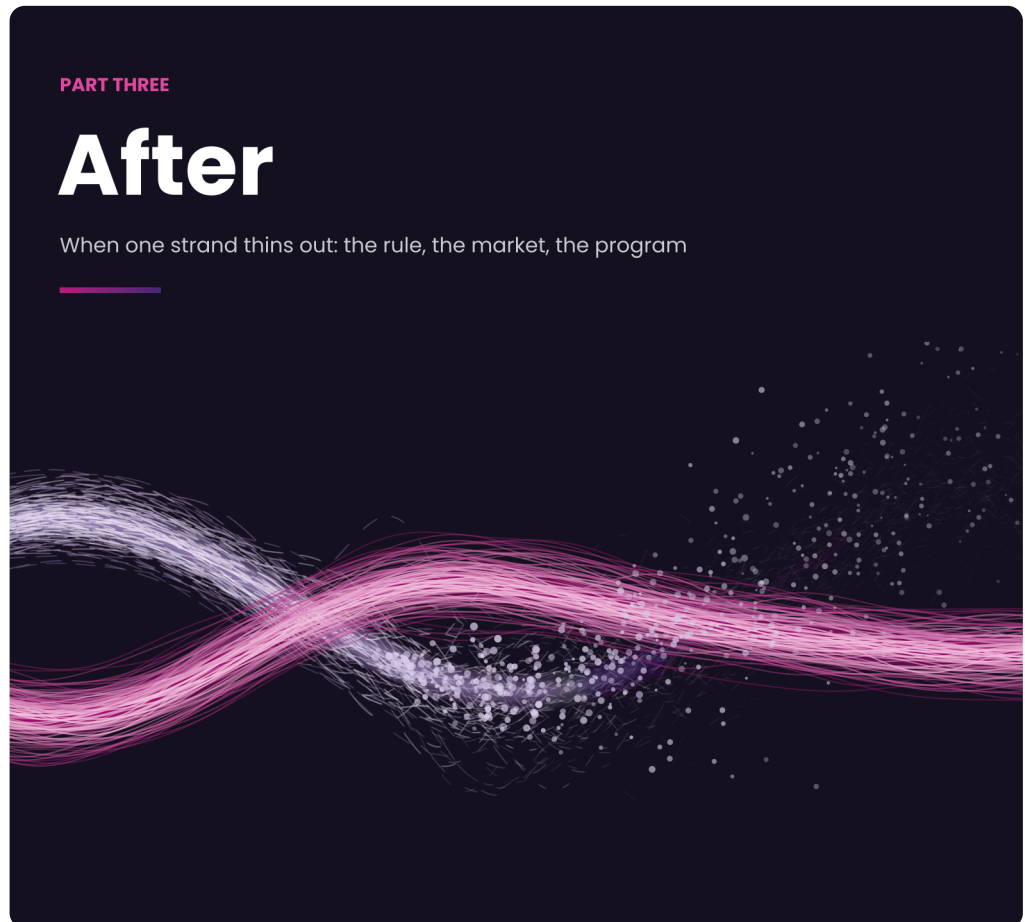
7. What To Do Before the Final Rule

How Uniquis Can Help

PART THREE

After

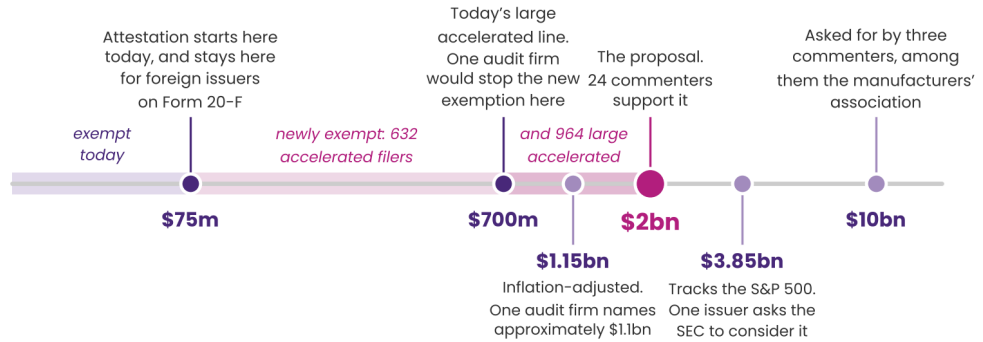
When one strand thins out: the rule, the market, the program



5. Where the Final Rule Could Move

The Commission can adopt the proposal as written. If it moves, the file shows where.

Exhibit 6 — Where the line could sit



Large accelerated filers left at each line, and their share of public float (SEC estimates)						
Filers	1,665	1,480	1,285	1,146	1,030	944
Line	\$700m	\$1.0bn	\$1.5bn	\$2.0bn	\$2.5bn	\$3.0bn
Share of float	95.2%	94.8%	94.1%	93.5%	92.7%	92.1%

Source: SEC Release 33-11419, p. 42 (inflation-adjusted and S&P 500-proportionate lines) and EA Table 13, p. 207; Uniquis coding of comment file S7-2026-18. The upper axis is logarithmic. EA Table 13 varies only the float line within the proposal, so its \$700 million row (1,665) differs from today's 2,115 large accelerated filers; the release does not reconcile the two. Between \$75 million and \$700 million some companies are exempt already.

Element	What the file says	What to watch for
Five-year on-ramp	55 of the 74 commenters that addressed it rejected or questioned a flat 60 months	A shorter period, or size-based exits like those for emerging growth companies
Float as the only test	13 commenters proposed a revenue test or asked the SEC to consider one	A revenue limit at or near \$1.235 billion
The \$2 billion level	24 supported it, 15 wanted it lower, 3 higher; 9 opposed any increase	A figure from \$1.15 billion to \$2 billion, or indexing
Crossing a line in 2026	One association and two issuers asked for interim relief; none is proposed	A grace period, or status held until the final rule
Foreign private issuers	Left at \$75 million; law firms asked for parity, now or in the foreign issuer rulemaking	A statement that the exclusion is transitional
Disclosure of whether the auditor attested	4 commenters asked that companies disclose whether an attestation was obtained	A required statement on whether the auditor attested

The on-ramp is where the file comes closest to agreement, and a change there would not touch a seasoned mid-market company. A second test or a lower line would. None of this binds the Commission: a count of letters shows where the arguments are, not how the vote will go.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

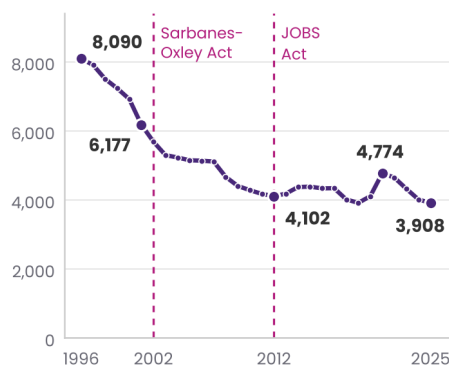
6. Capital Markets and the Mid-Market

Will this bring the mid-market back? It lowers the cost of staying public. The decision to go public turns on other things.

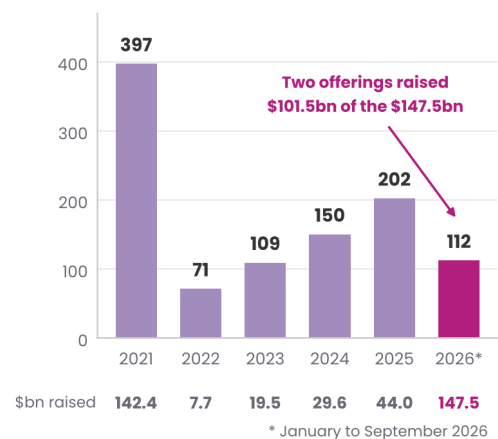
The proposal's stated purpose is to encourage more companies to go and stay public. The backdrop is real. The number of companies listed on US exchanges fell from 8,090 in 1996 to 3,908 in 2025.

Exhibit 7 — Fewer listed companies, but no shortage of capital

Companies listed on US exchanges, year end



US IPOs and direct listings, number



Source: World Federation of Exchanges via World Bank, indicator CM.MKT.LDOM.NO, "Listed domestic companies, total", United States, updated July 13, 2026; companies listed on US exchanges at year end, including foreign companies listed only there and excluding investment funds; 1996 is the peak. Renaissance Capital, US IPO Market 2025 Annual Review (December 18, 2025) and 3Q 2026 Quarterly Review (October 1, 2026): IPOs and direct listings of at least \$50 million of market value, excluding closed-end funds, SPACs and, from 2026, unit offerings. Figures for 2026 are the sum of the three quarterly reviews. The two offerings are SpaceX (\$75.0 billion) and SK hynix (\$26.5 billion), which was already listed in Korea.

The release does not claim to know the effect. It gives no estimate of additional listings and says the "magnitude and direction of the effect is difficult to predict". It also notes that approximately 88% of 2024 IPOs were by emerging growth companies, which already have the exemption for up to five years.

The file does not supply the missing evidence. Supporters assert that listings will follow and none estimates how many. The academic whose study the release cites for the JOBS Act's effect on IPOs supports the proposal, and wrote:

Professor Michael Dambr, University at Buffalo, comment letter, p. 2

"While I do not expect the regulation to increase IPO activity in the United States, our research indicates that scaling back the burdens of being public enhances the frequency and efficiency of corporate investment and innovation"

Much of the research the release cites points elsewhere: abundant private capital and small companies choosing to be acquired. The authors of one of those studies, in a 2025 update, date the US listing gap to 1999, three years before Sarbanes-Oxley.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

The count of listed companies points the same way: by the end of 2001, before the Act, it had fallen from 8,090 to 6,177, which is 46% of the whole decline to 2025.

Capital itself is not short. US IPOs raised \$147.5 billion in the first nine months of 2026, more than in all of 2021, and two offerings account for \$101.5 billion of it.

6.1 What it does for a mid-market company

For a listed company below \$2 billion of float that has the attestation today, the benefit is direct: a lower audit bill and less risk of being moved across a line by its share price.

For a private company deciding whether to list, the change is narrower than it looks. A candidate small enough to be an emerging growth company already has five years. What is new is relief for the candidate too large for that status, and one audit firm described the companies between its preferred line and \$2 billion as generally “large and seasoned public companies rather than the private companies weighing whether to enter the public markets” (comment letter, p. 4).

Two effects cut the other way, and both come from the one data set on the file built on the companies affected (Professors Rajgopal, Wong and Zhao, comment letter, pp. 2 and 4). The auditor reported ineffective controls at **8.5%** of companies with \$700 million to \$2 billion of float, against 3.8% above \$2 billion. The typical newly exempted company, with \$250 million to \$2 billion of float, is followed by **4 to 6 analysts**, against 12 for companies that stay in scope.

For foreign issuers the proposal works against its own purpose. A foreign private issuer on Form 20-F still needs the auditor’s opinion at \$75 million of float while a domestic competitor is exempt up to \$2 billion. The release concedes this “could result in competitive disadvantages”, and one international law firm wrote of the wider gap the proposals open between the domestic and foreign issuer regimes: “We believe this gap will make U.S. listings significantly less attractive for foreign issuers, thereby reducing the investment opportunities available to U.S. investors.” (Linklaters LLP, comment letter, p. 2).

Uniquis Point of View: an option to be priced

The proposal lowers the cost of staying public. It does little to change the decision to go public, because most companies making that decision are exempt already and the reasons they stay private are untouched: ample private capital, valuation and litigation exposure.

For a mid-market company the attraction of a US listing rests on valuation, liquidity and research coverage. A control record that holds up under outside testing supports all three.

Treat the exemption as an option to be priced, not a saving to be booked.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

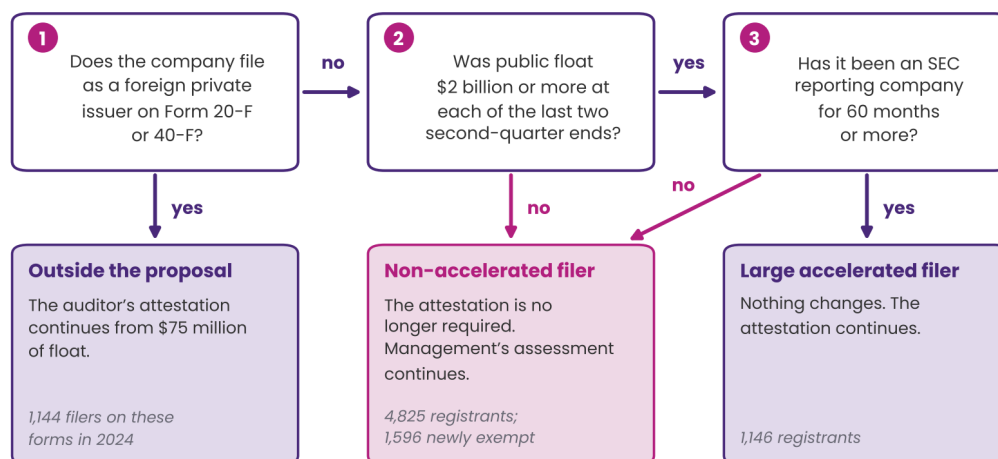
How Uniquis Can Help

7. What To Do Before the Final Rule

For the person who runs the SOX program: eight decisions, in order.

Start by locating the company. Three questions decide where it lands, and only one of the three outcomes calls for work now.

Exhibit 8 — Where a company lands under the proposal



Until a final rule takes effect, today's lines still apply.

A company that becomes an accelerated or large accelerated filer on its 2026 measurement date is in scope for fiscal 2026. **The release proposes no interim relief.**

Source: SEC Release 33-11419, pp. 43 to 48, 87 to 89, 114 to 116, 149, 152 and 205; Uniquis presentation. On transition, a current large accelerated filer below \$2 billion in either of the two years, or with less than 60 months of reporting, becomes a non-accelerated filer. Counts are the SEC's estimates on calendar 2024 data.

Eight decisions for the SOX program leader

1. FIX YOUR STATUS UNDER BOTH RULE SETS

Compute public float at the last two second-quarter ends on today's single-day basis and on the proposed 10-trading-day average, and count your months of reporting history.

2. IF YOU CROSSED A LINE AT JUNE 30, 2026, PLAN ON THE CURRENT RULES

Three commenters asked for interim relief and the release offers none.

3. LIST WHO ELSE EXPECTS THE OPINION

Banks stay under the FDIC's rule at \$5 billion of assets or more. Ask lenders, rating agencies and your largest holders before deciding.

4. PRICE THE SAVING FROM A FEE PROPOSAL, NOT FROM THE RELEASE

Ask the auditor what the audit costs without an opinion on controls; seven firms told the SEC the financial statement audit will absorb part of the work.

5. TAKE KEEP, DROP OR REPLACE TO THE AUDIT COMMITTEE WITH EVIDENCE

Material weaknesses and restatements in the last three years, turnover in finance, system changes under way, and who owns the shares.

6. SET THE EVIDENCE STANDARD FOR AN ASSESSMENT NOBODY ELSE TESTS

Scope, sample sizes, tester independence and deficiency evaluation need to be written down, because the auditor's file will no longer supply them.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

Eight decisions for the SOX program leader, continued

7. DECIDE WHAT YOU WILL SAY

Beyond the cover-page check box, the proposal requires no statement on whether an attestation was obtained. Four commenters asked for one. Have the answer ready for the first investor who asks.

8. KEEP WHAT IS HARD TO REBUILD

Control documentation, IT general control evidence and trained people. A company whose float stays at or above \$2 billion for two consecutive years is back in scope.

7.1 Keep, drop or replace

Option	When it fits	What you give up
Keep the integrated audit voluntarily	A recent material weakness or restatement; a capital raise ahead; lenders who ask	The saving, in whole
Drop it and rely on management's assessment	Stable business and systems; a clean control record; concentrated ownership	An independent test of your own conclusion
Replace it with something scaled	A program that wants outside challenge, from internal audit or a periodic outside review, without an annual opinion	Simplicity: the substitute has to be designed and explained

7.2 When management's assessment stands alone

The second option carries a known risk. An advisory firm that does not audit told the SEC that without the external attestation "the 404(a) process tends over time toward formalism" (p. 3). An academic committee's letter, citing a 2017 study of small companies, adds that Section 404(a) alone "only results in the discovery and disclosure of about half of issuers with ineffective internal controls" (p. 7).

The auditor's work	With the attestation	Without it
Understanding of controls	Required	Still required, for the design and implementation of relevant controls
Testing that controls operate	Required, to support an opinion on internal control	Where the auditor relies on controls or cannot get enough evidence without them
Deficiencies the auditor finds	Reported in writing to management and the audit committee	Unchanged
Opinion on internal control	Public, in the annual report	None
A material weakness that management has not reported	The auditor must say so in its report	Goes to management and the audit committee, to weigh in management's assessment

Source: SEC Release 33-11419, pp. 61, 62 and 139; PCAOB AS 2110, AS 2301 (including paragraph 17), AS 1305 and AS 2201.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

Dropping the opinion does not take the auditor out of internal control. The last two rows are the substance of the change: management's conclusion becomes the only public conclusion on internal control, so the evidence behind it has to stand on its own.

Cross-border implications — the United States, India and the Middle East

Foreign private issuers. A company from India or the Gulf that lists in the US on Form 20-F keeps the auditor's opinion from \$75 million of float. A domestic filer of the same size would be exempt up to \$2 billion.

India already asks for more. Section 143(3)(i) of the Companies Act, 2013 has the auditor report on whether internal financial controls with reference to financial statements are adequate and operating effectively, for listed and unlisted companies alike, apart from certain small private companies. A US parent that drops its attestation may still have an Indian subsidiary whose auditor reports on controls every year.

The UAE is moving the other way. Abu Dhabi's Accountability Authority requires the auditor to report on the effectiveness of internal control over financial reporting at the entities it oversees, and UAE listed companies are reported to be in a phased move toward an auditor's opinion on internal control; Saudi Arabia relies on the board's annual review and the audit committee's published opinion. A group reporting in more than one of these markets should build one control framework to the most demanding requirement it faces, not to the US floor.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniqus Can Help

**The auditor's opinion may go.
Management's assessment stays,
and from then on it stands alone.**

How Uniquis Can Help

This section is for four readers, each with a decision to take. If your company will remain a large accelerated filer, or is an emerging growth company in its first five years, nothing here changes your program. We do not audit, so no audit fee of ours depends on whether a company keeps the attestation.

Executive Summary

1. How Section 404 Got Here

2. What the SEC Proposed

3. What the SEC Heard

4. Two Questions the File Leaves Open

5. Where the Final Rule Could Move

6. Capital Markets and the Mid-Market

7. What To Do Before the Final Rule

How Uniquis Can Help

In or out?

Before fiscal 2026 audit planning closes

Filer status memo, one week. Public float on both measurement bases for the last two years, months of reporting history, FDIC and contractual overlays, and your expected status under the proposal and under the two alternatives the file most supports.

Keep, drop or replace?

Before the audit committee approves the next audit plan

Audit committee decision paper, three weeks. An evidence file on control history, what investors and lenders expect, a fee comparison built from your auditor's own proposal, and a recommendation the committee can minute.

What stands behind a management-only assessment?

Before the first year without the opinion

404(a) evidence standard, six weeks. Scoping, testing and deficiency evaluation written to the SEC's 2007 guidance for management, with a tester-independence model and a first-year test plan.

Foreign private issuer or multi-market group?

Before your next Form 20-F

Cross-border control map, four weeks. One framework mapped to Section 404, India's internal financial controls reporting and UAE or Saudi requirements, showing where a single test serves all of them.

To start any of these, write to **Sandip Khetan**, Co-Founder and Global Head of Accounting & Reporting Consulting, through www.uniquis.com.

About Uniquis Consultech

Uniquis Consultech is a global tech-enabled consulting company specializing in Accounting & Reporting, Governance, Risk & Compliance, Sustainability & Climate, and Tech Consulting. The Company is co-founded by consulting veterans Jamil Khatri and Sandip Khetan and backed by marquee investors such as Nexus Venture Partners, Sorin Investments, and UST. Anu Chaudhary, a global sustainability and climate specialist with over 25 years of experience, serves as the Global Head of Sustainability & Climate Consulting. Uniquis has a global team of 700+ professionals led by 85+ Partners & Directors across eleven offices in the USA, the Middle East, and India. The company serves more than 400 clients, including marquee names in each of the markets it operates in. Uniquis is committed to leveraging technology and an integrated global delivery model to provide best-in-class consulting services to its clients.

This publication contains general information only and is based on the SEC's proposing release, the public comment file, regulatory materials, academic research and market data available as of October 2026, including estimates from third parties that are inherently uncertain and subject to revision. The classification of comment letters reflects Uniquis's reading of each letter; positions are summarized, and readers should consult the letters themselves on the SEC's website. Rules described as proposed may be adopted in a different form or not at all. Amounts drawn from different sources and bases are not additive. Nothing herein alleges any breach of accounting standards or securities laws by any company or firm named, and references to commenters are included to illustrate the range of views on an unsettled question. This document does not constitute accounting, investment, legal or other professional advice, and Uniquis Consultech is not, by means of this publication, rendering any such advice or services. Readers should consult a qualified professional advisor before making any decision or taking any action that may affect their finances or business. © 2026 Uniquis Consultech. All rights reserved.